

TABLE 3—DISCONTINUITIES IN COLLEGE ENROLLMENT RATES AT DIFFERENT INCOME ELIGIBILITY THRESHOLDS

Treatment sample (Income eligibility thresholds)	Fee waiver (L0/No grant)		€1,500 allowance (L1/L0)		€600 increment (L6/L5 to L2/L1)	
	Baseline mean (1)	Nonparametric estimates (2)	Baseline mean (3)	Nonparametric estimates (4)	Baseline mean (5)	Nonparametric estimates (6)
<i>Baseline estimates</i>						
Enrolled in college	0.773	0.003 (0.009)	0.786	0.027*** (0.004)	0.775	0.007* (0.004)
<i>Sample size</i>						
Observations used in estimation		50,388		194,513		203,752
Observations in full sample		[96,390]		[194,513]		[284,601]

Notes: The table reports the estimated discontinuities in the college enrollment rates of grant applicants at the different income eligibility thresholds. The window size for the relative income-distance to cutoff is ± 0.20 for the L0/No Grant cutoffs, ± 0.16 for the L1/L0 cutoffs and ± 0.06 for the L6/L5 to L2/L1 cutoffs. Each coefficient comes from a separate regression where the running variable is the applicant's relative income-distance to the eligibility threshold. Columns 1, 3, and 5 report the mean value of the dependent variable above the income eligibility thresholds. The nonparametric estimates use the edge kernel, with bandwidth computed following Imbens and Kalyanaraman (2012). Optimal bandwidths are computed separately for each outcome and treatment sample. Robust standard errors are shown in parentheses.

***Significant at the 1 percent level.
**Significant at the 5 percent level.
*Significant at the 10 percent level.

with this interpretation, we show in the paper's online Appendix (section E) that within the L6/L5 to L2/L1 set of cutoffs (where increments vary between 226 and 757 euros), larger shifts in the amount of cash allowance tend to cause stronger enrollment responses. Assuming a linear effect, our reduced form estimate would translate into a 2 percentage points increase in enrollment rates per 1,000 euros increase in the amount of cash allowance.²⁵

In the online Appendix (section F), we perform a number of tests to assess the robustness of our baseline estimates. Specifically, we investigate the sensitivity of the estimated enrollment effects of grants to the choice of bandwidth and test for jumps at nondiscontinuity points by running placebo regressions. Moreover, we explore the sensitivity of our results to the sample selection criteria by including late applicants and applicants whose FNA score varies across their preregistration choices through the points awarded under the distance to university criterion. Finally, we investigate the possibility that our estimates could not be fully capturing the impact of grant eligibility on enrollment decision because our enrollment data (SISE) does not cover selective institutions (preparatory classes to elite graduate schools, advanced vocational courses, business schools, etc.). Our results are robust to all of these sensitivity tests. We are therefore confident that our baseline estimates capture the full impact of grant eligibility on applicants' enrollment in higher education.

²⁵ This effect is estimated by scaling the reduced form estimate (2.7 percentage points) to the actual amount of grant awarded to applicants at the L1/L0 cutoffs (1,342 euros, see Section D of the online Appendix).